



Procure To Pay Cycle

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01-What is ERP?

Enterprise resource planning (ERP) refers to a type of software that organizations use to manage day-to-day business activities such as :

- Accounting
- Procurement
- project management
- Human resources
- supply chain operations.

Example for the most famous ERP systems :



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02-Oracle ERP Modules



03-Supply Chain Module

What Is Supply Chain Management (SCM)?

- Supply chain management is the management of the flow of goods and services and includes all processes that transform raw materials into final products ,storing them in inventories and delivering them to the customer

what supply chain module in oracle offers?

- Inventory Management
- Manufacturing
- Order Management
- Procurement
- costing

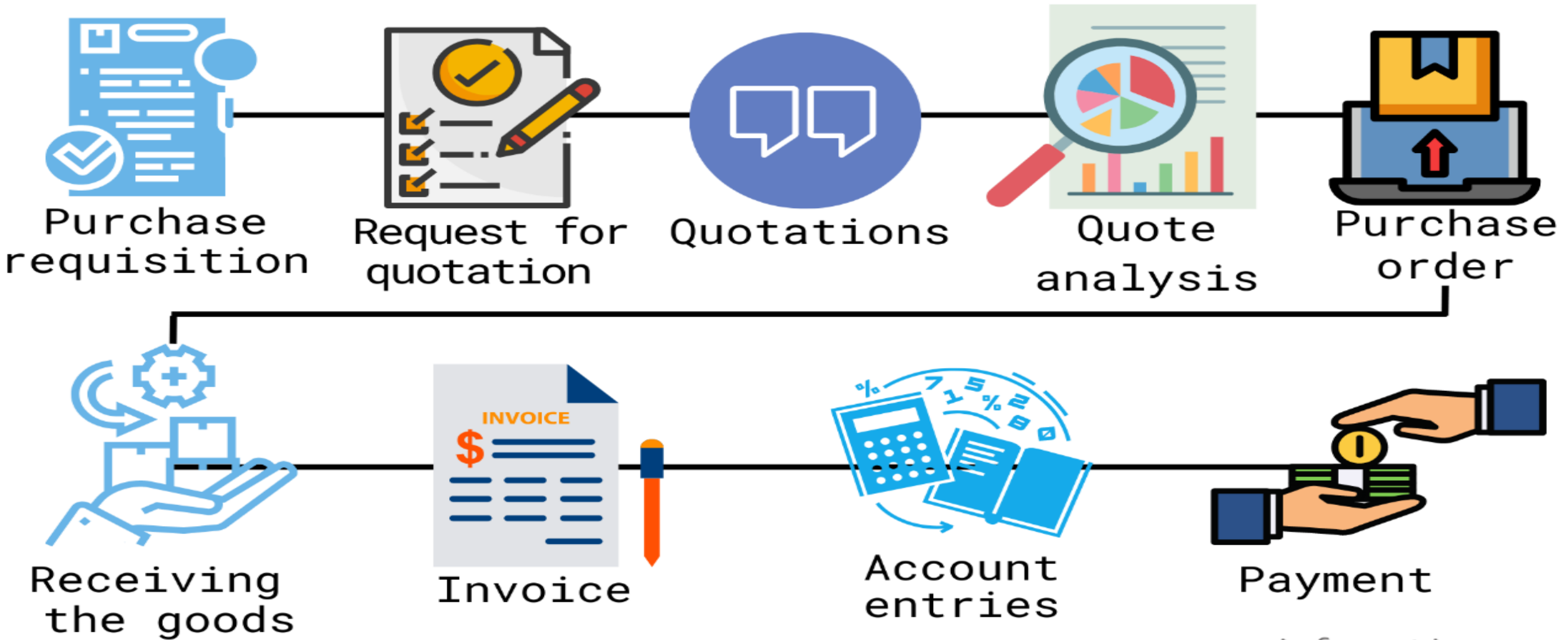


04-Procure To Pay Cycle

What is the P2P cycle

- The P2P cycle in Oracle Cloud Fusion is a process that starts with a requisition being created in Oracle Procurement and ends with the supplier being paid fully or partially for the purchase. The steps are outlined in the diagram below:

PROCURE TO PAY PROCESS CYCLE



www.erp-information.com

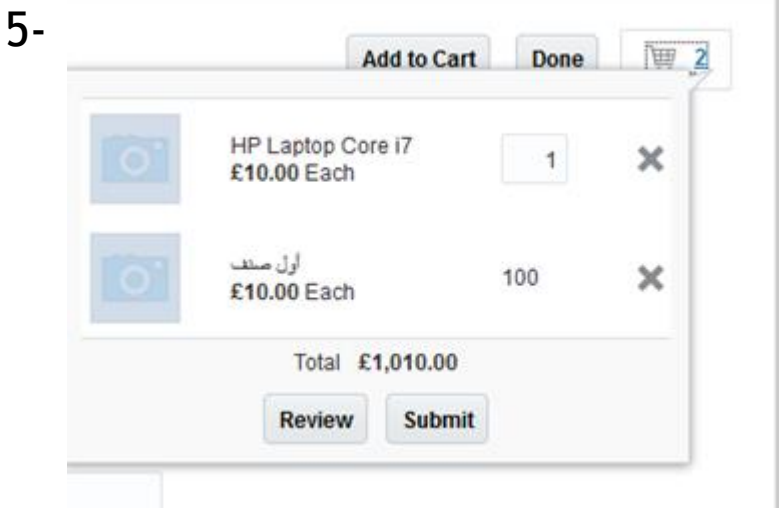
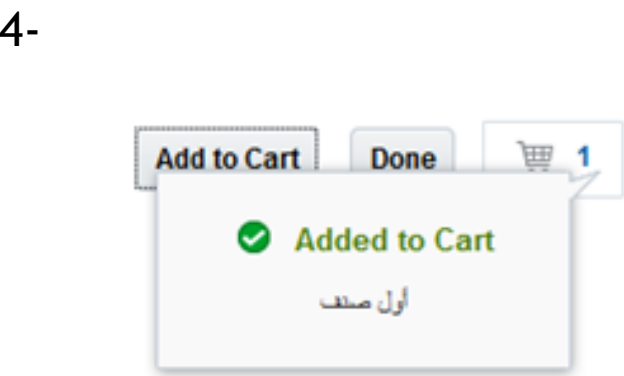
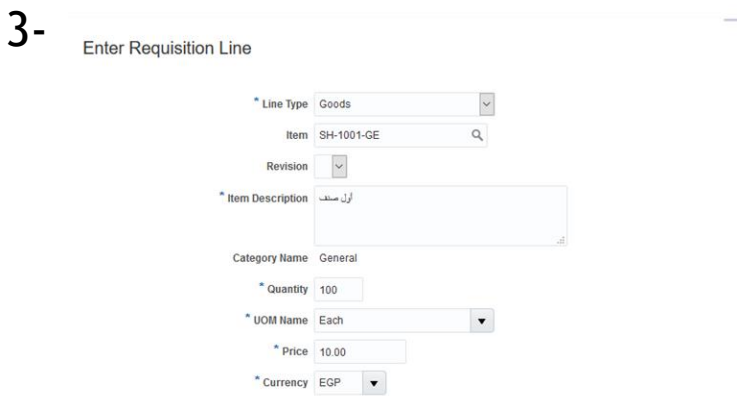
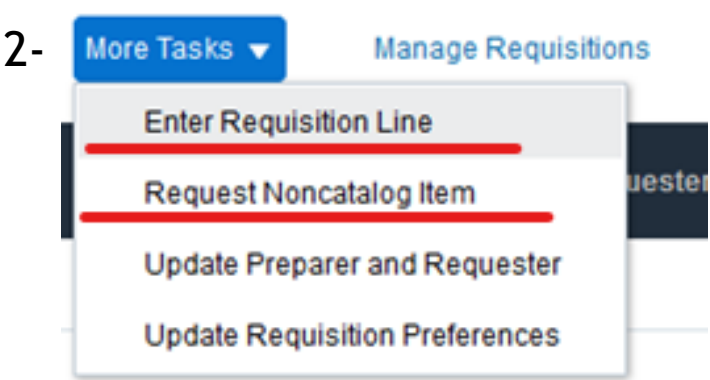
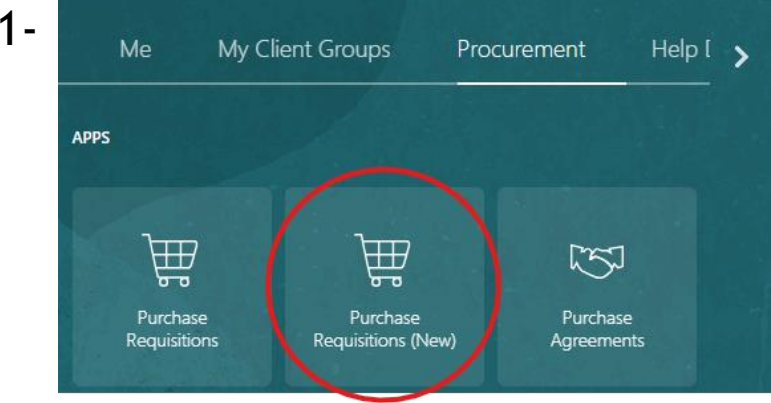
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Steps Of P2P Cycle

1.Create requisition

- The first step that initiates the Procure-to-Pay Cycle is Creating a Purchase Requisition (PR). A requisition is a formal document used when an employee needs to purchase or order something on behalf of their organization



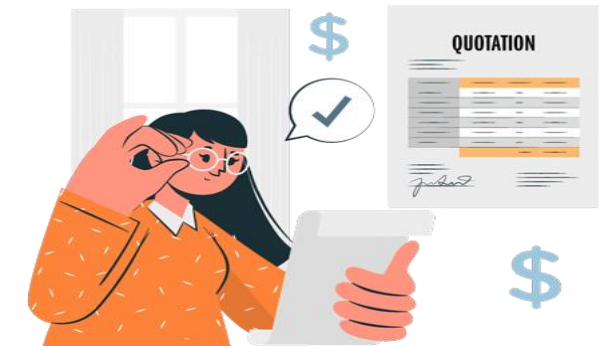


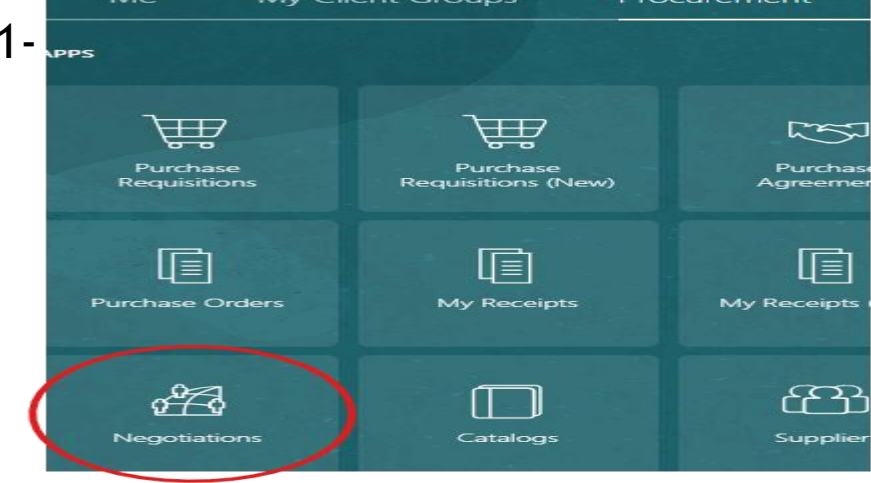
Request for quotation

- After requisitions are created by entering all the information mentioned above, the user generates a request for a quotation (RFQ). An RFQ is a Call for Bid, or an Invitation for Bid sent by a company to its potential suppliers.
- An RFQ is a document sent to the supplier that outlines the goods or services needed, along with the buyer's price. The RFQ also includes any other terms and conditions relevant to the purchase.

Quotations

- A quote is an offer that contains the total price of the products or services.
- The supplier sends a quotation, whether in response to an RFQ or not, through the Purchasing Documents Open Interface. If you don't receive quotes electronically from your supplier, a quotation can be created manually using a Quotations Form or copying the quotation from an existing RFQ.





2-

Create Negotiation

* Procurement BU

Negotiation Type

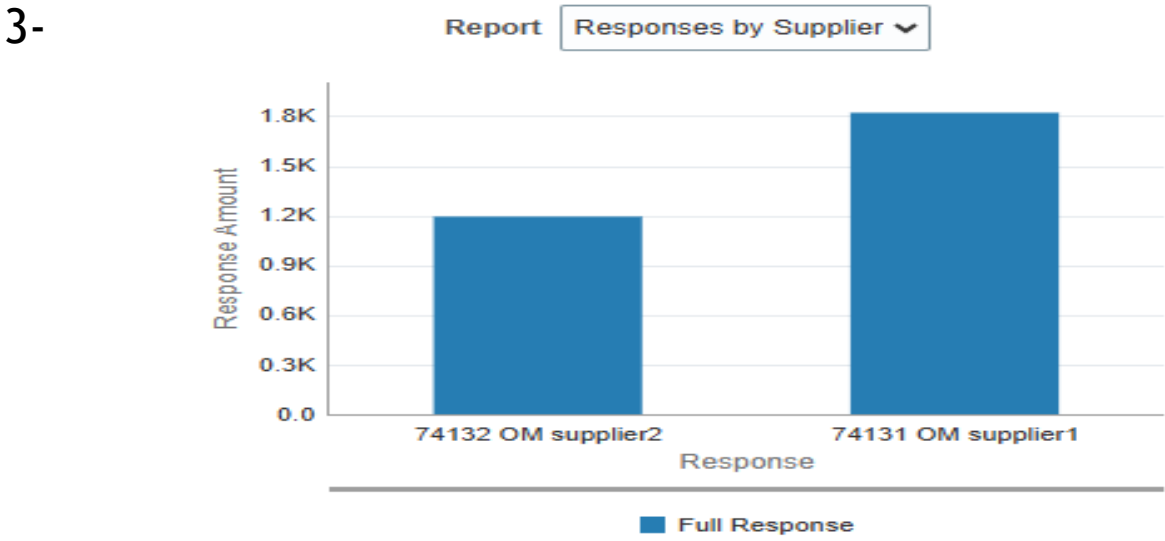
Negotiation Style

* Negotiation Template

* Outcome

* Negotiation Currency

- Negotiations**
- Create Negotiation
 - Manage Negotiations
 - Manage Programs
 - Manage Surrogate Responses
 - Delete Negotiations
 - Research Suppliers
- Deliverables**
- Manage Deliverables
- Setup**
- Manage Negotiation Template
 - Manage Attribute Lists
 - Manage Cost Factor Lists



4-

Title OM-RFQ

Response Status Awarded

Time Remaining 0 Seconds

Score 80.00

Close Date 18/01/25 03:25 AM

Overview Requirements Lines

General

Supplier OM supplier1

Supplier Site Cairo

Supplier Contact omar, omar

Response Currency USD

Price Precision 2 decimals maximum

Response Valid Until

Shortlist Status Included

Reference Number

Note to Buyer

Attachments None

Purchasing Document PO-2025-0000000004

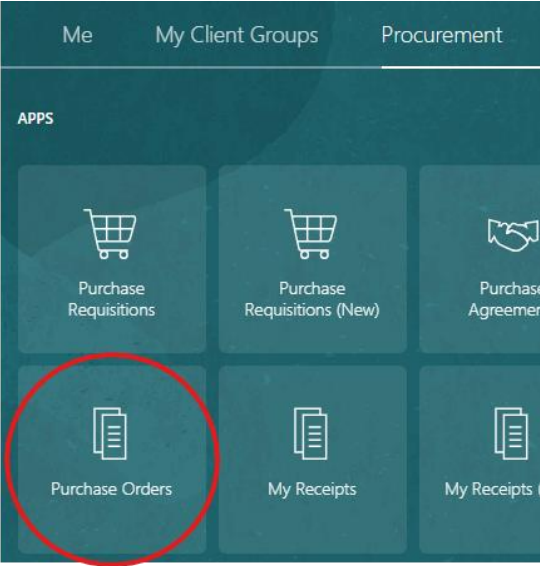
2. Create purchase order

- A purchase order is a commercial document that's used to request a seller to supply a product or service in return for payment. In Oracle Purchasing, a purchase order can be created through an automated process or entered manually.



The buyer is responsible for communicating with suppliers and agreeing with them to purchase goods with the best quality and best price.

1-



2-

Create Order

* Style: Purchase Order

* Procurement BU: [Dropdown]

Requisitioning BU: [Dropdown]

Supplier: [Search Field]

Supplier Site: [Dropdown]

Supplier Contact: [Dropdown]

Default Ship-to Location: [Search Field]

Sold-to Legal Entity: [Dropdown]

Currency: [Dropdown]

Buyer: [Dropdown]

Special Handling Type: [Dropdown]

Create **Cancel**

No data available

Requisitions

- Process Requisitions
- Import Requisitions
- View Requisition Line

Orders

- Manage Orders
- Create Order**
- Generate Orders
- Import Orders

Agreements

- Manage Agreements
- Purchase Agreement
- Create Agreement
- Import Blanket Agree
- Import Contract Agree
- Initiate Retroactive Pl
- Generate Approved S

Deliverables

- Manage Deliverables

Checklists

- Manage Compliance

Supply Base

3-

Lines Schedules Distributions

Actions View Format + [Icons] Freeze Detach Wrap

* Line	* Type	Edit	Item	* Description	* Category Name	Quantity	UOM	* Price	Ordered	* Location
1	Goods	[Edit]	SH-1001-GE	تجربة عمل لمر توريد الله الموقر	General	10	Each	10.00	100.00	SH Obore

Columns Hidden 44

APPROVAL CYCLE

PR APPROVAL

Pending Notifications

Notifications

More Details

Enter search terms

Action Required: Approve Requisition SH-20190052

13 minutes ago

Said Elshayeb

Approve

Reject

Action Required: Approve Requisition SH-20190043

2 days ago

Said Elshayeb

Approve

Reject

FYI: Approve Requisition SH-20190045

1 week ago

Requester Elshayeb

Action Required: Approve Requisition SH-20190045

1 week ago

Requester Elshayeb

Approve

Reject

FYI: Approve Requisition SH-20190044

1 week ago

Requester Elshayeb

FYI: Requisition SH-20190031 Approved

1 week ago

Requester Elshayeb

PO APPROVAL

Overview

Edit Document (Purchase Order): 135 x

Manage Approvals

Note to Approver

Options

Apply

Reset

1

Terms Stage

1.1

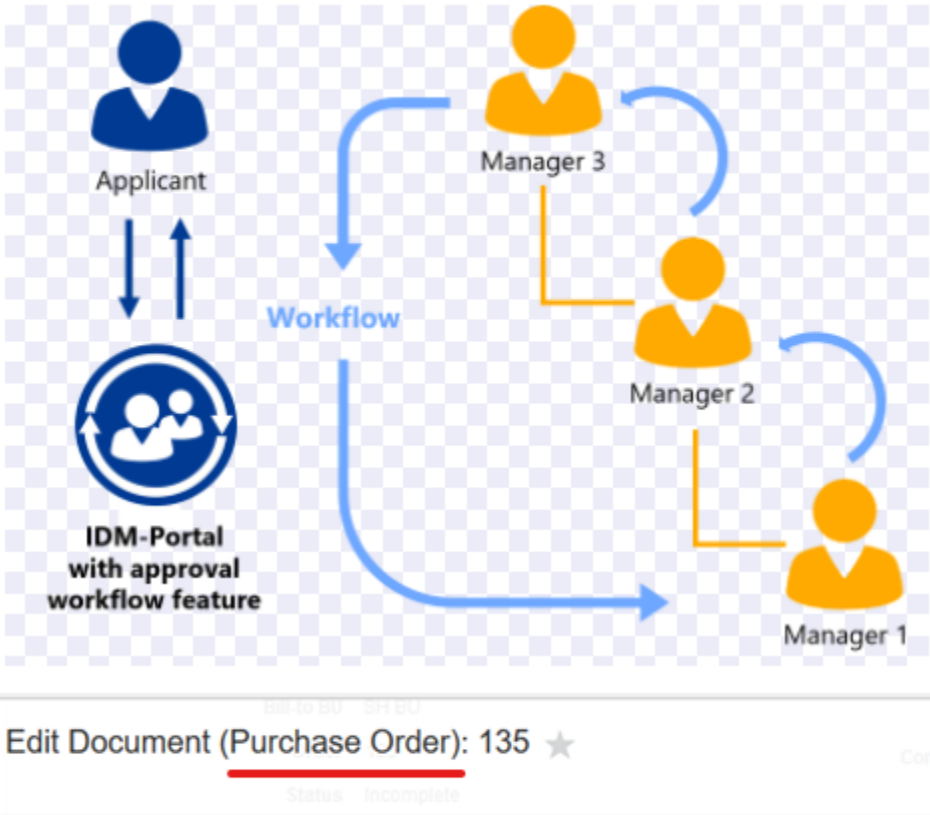
Parallel

1.1.1

Applications Development Framework Application Iden

Terms Stage

Applications Devel...



3. Create inventory receipt

Once the goods/services are ordered and shipped by the vendor, they must go to their final destination. The receipt is done by entering quantity (accepted quantity) and/or receiving location into the receiving form in Oracle Purchasing.



Manage Receiving Parameters

General ?

Ship-to Exception Action	
ASN Control Action	
Early Receipt Tolerance in Days	0
Late Receipt Tolerance in Days	0
* Receipt Days Exceed Action	
Overreceipt Tolerance	0
* Overreceipt Action	
* Receipt Routing	

on plan

Receipts

Receipts

Direct delivery

Inspection required

Standard receipt

	Receipt Routing	
1	Direct	Put away
2	Standard	Receiving area - Put away
3	Inspection	Receiving area - Inspect - Put away

4. Create AP invoice

- Once the receipt is entered, the invoice can be created in Oracle. An invoice specifies the price of the goods or services and any other terms, and an essential aspect of the invoice includes a due date for payment.



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Create Invoice: ⓘ

Invoice Actions ▾ Save and Create Next Save Save and Close Cancel

Invoice Header

Show More

Identifying PO

Business Unit

Supplier

Supplier Number

Supplier Site

Legal Entity

Invoice Group

Number

Amount

Type

Description

Date

Payment Terms

Terms Date

Requester

Attachments

Note

Lines ⓘ Match Invoice Lines

Taxes

Totals

Items	Freight	Miscellaneous	Tax	Included Prepayments	Total
0.00	0.00	0.00	0.00	0.00	0.00
			Withholding 0.00	Applied Prepayments 0.00	Due 0.00

5.Create accounting entries

- The invoice which is created and approved needs to be reviewed. This step is known as invoice validation, wherein the invoice is checked and validated. The supplier's invoice is matched and ensures it aligns with the PO created earlier.
- After Invoice validation and approval, the Accounts Payables team generates accounting entries. These accounting entries debit from the Accounts Payable Account and credit into the Cash Account.

Blanket Purchase Agreement B.P.A



- A contract with a fixed duration and value for the supply of specific items at prices agreed upon between the buyer and the supplier.
- This contract includes certain items at certain prices, it may include discounted prices and also the lowest purchase value.

Me My Client Groups Procurement

APPS

Purchase Requisitions

Purchase Requisitions (New)

Purchase Agreements

Purchase Orders

My Receipts

My Receipts

Create Agreement

1 - * Style Blanket Purchase Agreement

* Procurement BU

Supplier

Supplier Site

Supplier Contact

* Currency

Buyer

ty

No data available

View Requisition Lines

Orders

- Manage Orders
- Create Order
- Generate Orders
- Import Orders

Agreements

- Manage Agreements
- Purchase Agreements (1
- Create Agreement**
- Import Blanket Agree
- Import Contract Agree
- Initiate Retroactive Price

Overview **Edit Document (Blanket Purchase Agreement): SH-20190001** x

Edit Document (Blanket Purchase Agreement): SH-20190001 ★

Manage Approvals View PDF Actions Save Submit Cancel

Main Controls

General

Procurement BU SH BU

Agreement SH-20190001

Status Incomplete

* Buyer Elshayeb, Ahmed

Creation Date 27/02/19

Supplier SH Supplier RAW

Supplier Site Cairo Branch

Supplier Contact

Communication Method None

Start Date 01/02/19

End Date 01/04/19

* Currency EGP

Agreement Amount 10,000.00 EGP

Minimum Release Amount 1,000.00 EGP

Description BPA Test 1

Terms **Notes and Attachments**

Price Break

Edit Line: 1

Back Next Actions OK Cancel

Procurement BU SH BU
Line Type Goods
Item SH-1001-HW
Revision
* Description HP Laptop Core i7
☒ Allow item description update
Supplier Item
Category Name General

* UOM Each
* Price 100.00 EGP
☐ Allow price override
Price Break Type Cumulative
Expiration Date dd/mm/yy
Minimum Release Amount EGP
Agreement Amount EGP
Agreement Quantity

Price Breaks

Actions View Format + X Freeze Detach Wrap

* Price Break	Ship-to Organization	Location	Quantity	UOM	* Price	Discount Percent	Start Date	End Date	Attachments
2	SH1	SH Obore	200	Each	98.00	2			None +
3	SH1	SH Obore	300	Each	97.00	3	dd/mm/yy	dd/mm/yy	None +
1	SH1	SH Obore	100	Each	99.00	1			None +

Save

Create Agreement

X

2- * Style Contract Purchase Agreement

05-Conclusion

The P2P cycle involves all necessary and optional processes that help ensure a smooth requisitioning and procurement of goods and services, and the accuracy of financial data in Oracle Applications.

